

# A defensible benchmark for a complex capital decision.

A pre-FEED gas development was told it was not first quartile, with no evidence of where or why. Benchmarking it system by system against 27 peers replaced a blanket cost-cutting mandate with a focused, defensible to-goal agenda.

|                                            |                                                             |                                                       |                      |
|--------------------------------------------|-------------------------------------------------------------|-------------------------------------------------------|----------------------|
| INDUSTRY<br>Oil & gas — upstream, offshore | ENGAGEMENT CONTEXT<br>Consulting · global upstream operator | ROLE<br>Independent competitiveness review (pre-FEED) | DURATION<br>4 months |
|--------------------------------------------|-------------------------------------------------------------|-------------------------------------------------------|----------------------|

## THE SITUATION

- An internal review had flagged system-level costs as not first quartile, but leadership had no like-for-like evidence of where the project actually sat.
- Directly comparable shallow-water gas peers were scarce, making a credible comparison set the first problem to solve rather than an input.
- Without isolating which cost systems drove the gap, the pre-FEED response would default to cutting cost everywhere, including where the project was already strong.

## MY CONTRIBUTION

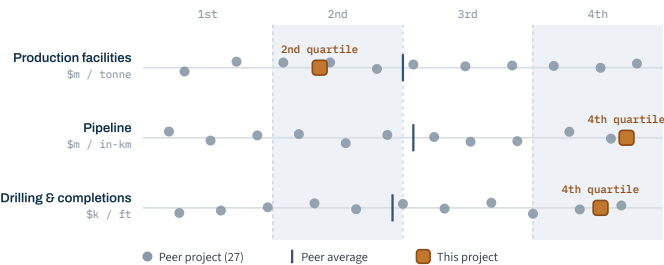
I led the benchmarking workstream feeding a joint gap-to-goal workshop: building the peer set, normalising costs top-down at system level and bottom-up at component level, quantifying the variance, and synthesising a fragmented cost picture into a board-ready verdict — independent of the project team, not a defence of it.

## THE JUDGMENT THAT MATTERED

A first-quartile target is not automatically the right goal for every cost system. Separating structural gaps — tie-back distance, seabed conditions — from commercially addressable ones such as rig contracting is what made the benchmark actionable rather than merely damning.

### EXHIBIT 1 Peer-group benchmark by cost system

Project position against 27 peers, by quartile · directional

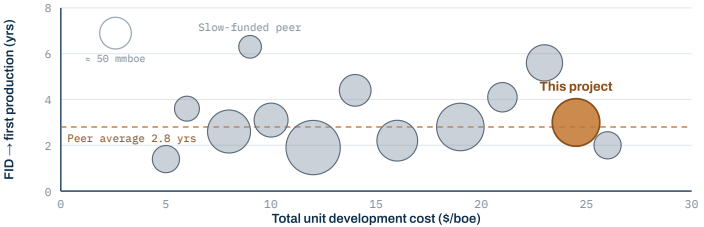


#### SO WHAT

The cost story is not uniform. Facilities are competitive at 2nd quartile; pipeline and drilling sit in the 4th — so a blanket cut-everything goal would spend effort on the part that is already strong.

### EXHIBIT 2 Peer landscape — unit cost against schedule

Bubble size ≈ recoverable resource (mmboe) · directional



#### SO WHAT

The project carries higher unit cost than most peers without a faster schedule to offset it, which puts the weight of the investment case on closing the cost gap rather than on speed to first production.

## WHAT THE WORK DELIVERED

- A 27-project peer benchmark built where few ideal comparators existed — the first credible like-for-like cost view available to the decision.
- The dominant lever isolated — rig rate, roughly 41% of drilling and completions cost — with schedule holding near the peer median.
- A clear category-level verdict: 2nd quartile on production facilities, 4th quartile on pipeline and on drilling & completions.
- The pre-FEED conversation reframed from cut costs everywhere to a focused, evidence-backed to-goal agenda.

## HEADLINE

# 27 projects

in the comparative peer set

# Finding the value hidden in contractor billing.

A \$233M contractor programme was billing \$4.9M–\$6M a year above the assessment benchmark. The cause was not which contractors held the work — it was the absence of rate-book enforcement, which meant replacing them would have reproduced it.

INDUSTRY

Energy & utilities — electric distribution

ENGAGEMENT CONTEXT

Consulting · major US electric utility

ROLE

Independent commercial assessment (pre-RFP)

DURATION

10 weeks

THE SITUATION

- A 2026 renewal of the overhead-construction contracts was approaching, against a unit-rate book that had not been refreshed in five years.
- Ambiguous work descriptions and time-based billing made the commercial exposure real but unquantified, with no competitive-tension mechanism in the contract.
- Any diagnosis had to pinpoint where governance failed across 482 rate-book items and six contractors without boiling the ocean.

MY CONTRIBUTION

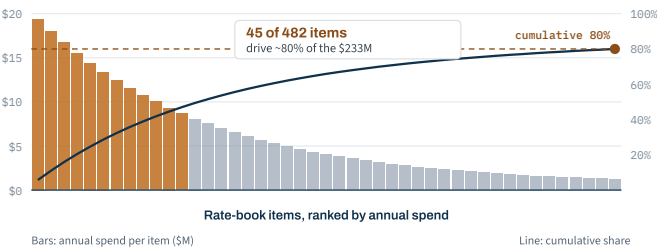
I led the assessment end to end — designing the three-layer method, analysing twelve months of approved spend covering \$233M across roughly 565,000 transactions, 482 rate-book items and six contractors, quantifying above-market billing, isolating its structural root cause, and converting the diagnosis into a five-pillar contracting framework and phased roadmap tied to the RFP critical path.

THE JUDGMENT THAT MATTERED

A rate comparison is only useful when the work and its measurement units are genuinely comparable. I weighted each contractor's rates by their own transaction volumes and held the finding together as one integrated opportunity rather than splitting it into a list of individually deniable line items.

EXHIBIT 1 Spend concentration across the rate book

Pareto of the \$233M portfolio · top 45 of 482 items shown · directional

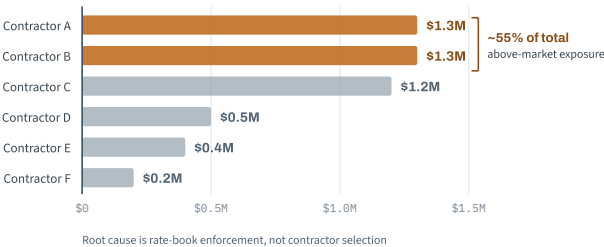


SO WHAT

The governance problem is highly concentrated — 45 items, not 482 — which makes it operationally addressable inside one renewal cycle rather than overwhelming.

EXHIBIT 2 Above-market variance by contractor

Unit-billing variance against the weighted-average rate · directional



SO WHAT

The two largest contractors carry roughly 55% of the exposure, but the driver is the absence of rate enforcement — the same billing pattern would recur with any replacement.

WHAT THE WORK DELIVERED

- A \$4.9M–\$6M annual opportunity quantified against the assessment benchmark and shown to be addressable through a single structural lever.
- An RFP-ready toolkit: a five-pillar contract framework, an upgraded work-description standard and a standardised pricing template.

- Rate-book enforcement identified as that lever — avoiding a costly contractor reshuffle that would not have fixed the cause.
- A sequenced roadmap tied to the renewal critical path, each reform mapped to a specific governance failure.

HEADLINE

**\$4.9M–\$6M**

annual opportunity identified

The right capacity, in the right parts of the function.

Headcount ratios would have called this supply-chain organisation efficient. Assessing workload role by role showed something more useful: a lean structure carrying peer-topping spend per person, with no headroom left for the growth it was being asked to absorb.

| INDUSTRY                       | ENGAGEMENT CONTEXT             | ROLE                                                     | DURATION |
|--------------------------------|--------------------------------|----------------------------------------------------------|----------|
| Energy & utilities — regulated | Consulting · US energy utility | Organisational benchmarking & operating-model assessment | 12 weeks |

THE SITUATION

- Leadership needed to know whether the supply-chain organisation was structured to support current spend and planned growth.
- Raw headcount comparisons risked obscuring real differences in role scope, process design and functional coverage between peers.
- The objective was a fact base for workforce and operating-model decisions, not a headcount verdict.

MY CONTRIBUTION

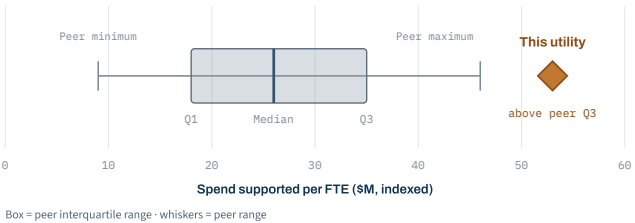
I led the benchmarking assessment across structure, role allocation and functional capacity — defining the peer-comparison framework, assessing spend supported per FTE across the organisation, reviewing coverage across sourcing, procurement operations, PMO/CoE and planning, and translating the findings into executive-level structural implications.

THE JUDGMENT THAT MATTERED

High spend per person can mean a lean organisation or an overloaded one, and the two call for opposite responses. Reading the number alongside scope, service expectations and how execution work was distributed is what turned a benchmark into a recommendation.

EXHIBIT 1 Spend supported per FTE against peer utilities

Peer distribution shown as a box plot · directional

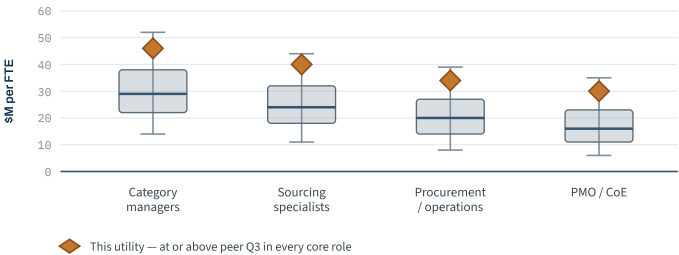


SO WHAT

The utility supports more spend per FTE than the peer range — evidence of a lean, broad-scope structure rather than an over-resourced one.

EXHIBIT 2 Spend supported per FTE, by role

Each box = peer distribution · diamond = this utility · directional



SO WHAT

Every core role sits at or above the peer upper quartile, so spend responsibility is concentrated in manager roles with limited dedicated execution headroom beneath them.

WHAT THE WORK DELIVERED

- A structured fact base on supply-chain sizing relative to peers, usable directly in workforce planning.
- Lean enablement and the absence of a standalone planning function identified as the two structural gaps.
- Visibility into where spend responsibility concentrated across roles and where functional coverage thinned.
- A prioritised reinforcement roadmap: clearer ownership of coordination-heavy work, execution support in procurement operations, incremental PMO/CoE capacity and formal planning capability.

HEADLINE

Role by role

supply-chain capacity assessed

# A stronger renewal. Service continuity protected.

A field-services renewal was on course to roll forward historical rates. Rebuilding the supplier's economics from the cost drivers up moved the negotiation onto what the service should cost — and secured roughly £2M of total-cost optimisation with the incumbent retained.

| INDUSTRY           | ENGAGEMENT CONTEXT                     | ROLE                                                  | DURATION |
|--------------------|----------------------------------------|-------------------------------------------------------|----------|
| Telecommunications | In-house category ownership · BT Group | Category & sourcing manager — renewal and negotiation | 6 months |

## THE SITUATION

- A multi-year regional service-delivery contract was approaching renewal with no refreshed cost baseline behind it.
- Rates had been accepted historically, with limited visibility of the supplier's underlying cost build-up, so the renewal risked simply carrying inflated pricing forward.
- Savings could not come at the cost of continuity — pressing a regional incumbent too hard put field-service delivery at risk.

## MY CONTRIBUTION

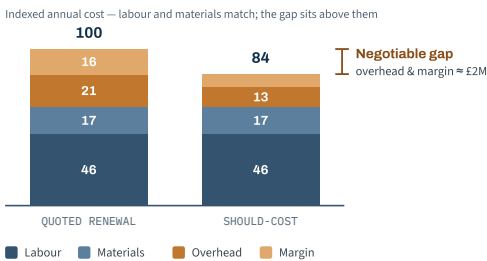
I led the renewal end to end: building the should-cost model from first principles across labour, productivity, materials, overhead and a fair margin; constructing a total-cost view that priced mobilisation, travel, service-level credits and rework; setting the negotiation strategy and walk-away position; and leading the supplier negotiation to close.

## THE JUDGMENT THAT MATTERED

The negotiation that mattered was about complete service economics, not the headline day rate. A lower rate would have meant little if mobilisation, rework or delivery disruption pushed total cost back up — so the ask was sequenced to protect continuity while still taking the margin gap.

### EXHIBIT 1 Should-cost build-up against the quoted renewal

Indexed annual cost, by cost element · directional

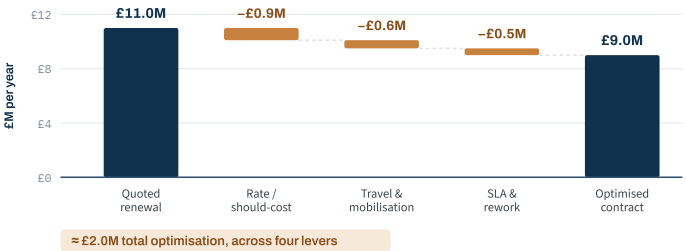


#### SO WHAT

The gap was not in labour rates — it sat in overhead and margin above a defensible build-up, which is precisely what made it negotiable rather than a market price to accept.

### EXHIBIT 2 Total-cost optimisation, quote to signed contract

£M, annual contract value · directional



#### SO WHAT

The optimisation came from several levers rather than one: the rate gap plus the costs the day rate hides — travel, mobilisation, SLA and rework — compounded to roughly £2M.

## WHAT THE WORK DELIVERED

- Approximately £2M of total-cost optimisation locked into the renewed contract across multiple levers.
- A defensible should-cost baseline left with the team, reusable to anchor the next renewal.
- The incumbent retained and field-service continuity protected through a phased, evidence-led negotiation.
- Full total-cost visibility established across rates, travel, mobilisation, service levels and rework.

## HEADLINE

~£2M

total-cost optimisation secured

# Turning fragmented CapEx buying into category leverage.

A capital programme tendered package by package leaks leverage at every award. Managing it as three categories — each matched to its own supply market — converted scattered tenders into roughly \$4M of CapEx savings and a governance model the client kept.

| INDUSTRY                 | ENGAGEMENT CONTEXT                          | ROLE                           | DURATION  |
|--------------------------|---------------------------------------------|--------------------------------|-----------|
| Oil & gas — upstream E&P | Consulting · Accenture, Indian E&P operator | CapEx category & sourcing lead | 12 months |

## THE SITUATION

- A large upstream capital programme was being sourced project by project, each package tendered in isolation.
- There was no category strategy and no aggregated demand view, which left limited leverage against a concentrated contractor base.
- Coordination had to arrive without loosening attention on technical requirements, quality and delivery schedule.

## MY CONTRIBUTION

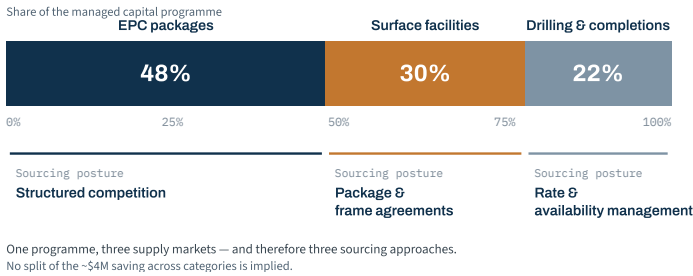
Within Accenture's engagement team I led CapEx sourcing and category management across the major spend categories — building category strategies for EPC, surface facilities and drilling & completions; aggregating demand across projects; running sourcing end to end from qualification and RFx through evaluation, negotiation and award; and embedding category governance and supplier-management discipline in the client's own team.

## THE JUDGMENT THAT MATTERED

Leverage came from the structure of the process as much as from the size of the package. A concentrated market does not reward a bigger bidder list — it rewards disciplined stage-gates, which is why each category earned a different contracting approach rather than one tendering formula.

### EXHIBIT 1 CapEx spend by managed category

Share of the managed capital programme · directional



**SO WHAT**  
EPC dominates the programme and so earns the most structured competitive process, while smaller categories are better served by frame agreements than by a full re-tender each cycle.

### EXHIBIT 2 Sourcing funnel — qualified field to award

Indicative supplier count at each stage, per major package · directional



**SO WHAT**  
A wide qualified field narrowed by structured stage-gates is what creates competitive tension in a concentrated market. The leverage is in the process, not in the headcount of bidders.

## WHAT THE WORK DELIVERED

- Approximately \$4M in CapEx savings delivered across the managed sourcing portfolio.
- Demand aggregated across projects to build leverage against a concentrated supplier base.
- Category strategies established across EPC, surface facilities and drilling & completions, replacing project-by-project buying.
- Category playbooks and supplier-management routines embedded with the in-house team.

HEADLINE  
~\$4M

CapEx savings delivered

Different markets deserve different sourcing strategies.

Lighting and E-STATCOM were being approached identically despite opposite supply dynamics. One intelligence framework applied to both showed why one should be competed hard and the other secured early — and what it would cost to get that backwards.

| INDUSTRY                                    | ENGAGEMENT CONTEXT          | ROLE                                    | DURATION |
|---------------------------------------------|-----------------------------|-----------------------------------------|----------|
| Energy & utilities · industrial procurement | Consulting · energy utility | Category intelligence & market briefing | 8 weeks  |

THE SITUATION

- Sourcing decisions were approaching on two categories that could hardly be less alike: LED luminaires, high-volume and commoditising, and E-STATCOM, engineered and supplier-concentrated.
- There was no consolidated view of market size, growth or supplier concentration for either, and no visibility of what actually moved price.
- Both were being approached with the same sourcing posture despite opposite supply dynamics.

MY CONTRIBUTION

I led the category-intelligence assessment and the stakeholder briefings for both categories — defining one framework spanning market structure, cost drivers, price outlook and supply risk; building the cost-driver breakdowns and directional price outlook; mapping each supplier landscape; and translating the findings into a differentiated sourcing posture procurement and engineering could agree on.

THE JUDGMENT THAT MATTERED

The shift that mattered was from describing a market to saying what procurement should do about it. Common headings kept the two categories comparable without implying they should be sourced the same way — which is the error the work existed to prevent.

EXHIBIT 1 Category positioning by risk and impact

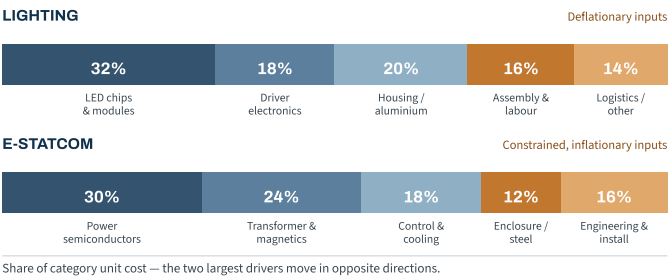
Lighting in Leverage; E-STATCOM in Strategic · directional



**SO WHAT**  
Lighting's low supply risk means leverage, so compete it hard. E-STATCOM's high risk and high impact mean partnership and early commitment, not aggressive tendering.

EXHIBIT 2 What moves price in each category

Share of category unit cost · directional



**SO WHAT**  
Lighting cost rides on LED modules and aluminium, both deflationary. E-STATCOM rides on power semiconductors and transformers, both supply-constrained — so contract length should differ, not just price.

WHAT THE WORK DELIVERED

- A single intelligence base holding market structure, cost drivers and price outlook for both categories in one comparable frame.
- Cost-driver transparency that lets the client challenge supplier quotes on the inputs that actually move price.
- A differentiated posture: Lighting positioned for competitive leverage, E-STATCOM for strategic partnership and early commitment.
- Executive-ready briefings that aligned procurement and engineering ahead of the sourcing decisions.

HEADLINE  
**2 categories**  
one consistent intelligence framework